A TFSA, an RRSP and an RESP: the Family Rules

TFSA room, RRSP room, each child's RESP limit, the CESG and the other grants, paying for school, and the traps between brokerages, in plain English · 2026

These three accounts do three different jobs. Your TFSA is tax-free, forever. Your RRSP lowers your tax today and is taxed when the money comes out. Your children's RESP collects government grants and grows sheltered until they go to school. Each one has its own limits, and every limit belongs to a PERSON or a CHILD, not to an account. When the accounts sit at different brokerages, nobody sees the whole picture, so nobody warns you. These are the rules that matter, and how the tracker handles each one.

1. YOUR TFSA ROOM

Rule	What it means	In the tracker
One room per person	All your TFSAs at every brokerage share ONE contribution room. Each brokerage only sees its own.	Settings B24; TFSA room block.
Annual limit	$7,000 for 2026. Unused room carries forward. Someone 18+ in 2009 who never contributed has $109,000 in 2026.	Settings B23.
Withdrawals come back January 1	Money you take out is added back to your room on January 1 of the next year, never the same year.	"Room on Jan 1 next year".
Deadline: December 31	No 60-day grace period. A January contribution uses the new year's room.	—
Over-contribution tax	1% per month on the highest excess, until it is withdrawn (Form RC243).	Red message.
US dividends	15% is withheld and cannot be recovered in a TFSA.	Dividend Tracker note.

Example. Your room on January 1, 2026 is $20,000. You contribute $7,000 to your Wealthsimple TFSA and $6,000 to your Questrade TFSA. Room left = $20,000 – $13,000 = $7,000, for both together. You withdraw $1,000 in September: your room does not go up this year, but $1,000 comes back on January 1, 2027.

2. YOUR RRSP ROOM

Rule	What it means	In the tracker
One limit per person	All your RRSPs at every brokerage (and any spousal RRSP you pay into) share ONE deduction limit, shown on your Notice of Assessment. It already includes unused room from past years.	Settings B31 to B33; RRSP room block.
New room each year	18% of last year's earned income, up to $33,810 for 2026 ($35,390 for 2027), minus any pension adjustment.	—
The March 1 deadline	Contributions up to the 60th day of the next year (March 1, 2027) can be deducted on your 2026 return (Line 20800). A contribution on February 16, 2026 belongs to 2025.	Mar 2 → Mar 1 window.
$2,000 buffer	You can be over by up to $2,000 in your lifetime. Beyond that, 1% per month on the excess (Form T1-OVP).	Amber, then red message.
Withdrawals	Taxed as income (Line 12900) with 10%, 20% or 30% withheld (different in Quebec). The room never comes back, except under the Home Buyers' Plan (up to $60,000) and the Lifelong Learning Plan.	Tax snapshot.
US dividends	The Canada-US treaty exempts US-listed shares held directly in an RRSP from the 15% withholding.	Dividend Tracker note.

Rule	What it means	In the tracker
Age 71	Convert your RRSP to a RRIF or an annuity by December 31 of the year you turn 71.	Settings B9.

Example. Your 2026 deduction limit is $18,000. You contribute $2,000 at TD on February 16 (that counts for 2025), $6,000 at RBC on March 10 and $3,000 at TD on August 20. Counted against 2026: $9,000. Room left: $9,000, until March 1, 2027.

3. EACH CHILD'S RESP LIMIT

Rule	What it means	In the tracker
$50,000 per child, for life	Per beneficiary, across ALL RESPs and ALL subscribers: you, your partner, grandparents. There is no annual limit.	Per-child block.
Two RESPs, one limit	RESPs at two brokerages for the same child share ONE $50,000 limit and ONE $7,200 CESG maximum.	Child column (E).
Over-contribution tax	Each subscriber pays 1% per month on their share of the excess, until it is withdrawn.	Red message.
Withdrawals never give back room	Contributions you take out still count towards the $50,000.	—
Not deductible	RESP contributions do not lower your tax. The benefit is the grants and sheltered growth.	—
31 and 35 years	Contributions are allowed until December 31 of the 31st year after the plan was opened. The plan must close by December 31 of its 35th year.	RESP timeline.

4. THE CANADA EDUCATION SAVINGS GRANT (CESG) AND OTHER GRANTS

Rule	What it means	In the tracker
Basic CESG: 20%	The government adds 20% of the first $2,500 contributed for a child each year: $500.	"CESG earned by this year's contributions".
Grant room carries forward	Every child earns $500 of grant room a year from birth (since 2007), even with no RESP. You can collect at most $1,000 a year, by contributing $5,000.	"Max CESG you can get this year".
Lifetime maximum	$7,200 of CESG per child.	"CESG lifetime left".
Last year: the year the child turns 17	No CESG from the year the child turns 18. No 60-day grace period: contribute by December 31.	Status: "No CESG (18+)".
The age 16 and 17 rule	CESG at 16 or 17 only if, by the end of the year the child turned 15, at least $2,000 was contributed (and not withdrawn) OR at least $100 a year was contributed in any 4 years.	Status: "Check 16–17 rule".
Additional CESG	An extra 10% or 20% on the first $500 a year, depending on family income. Not carried forward.	Log it as CESG.
Canada Learning Bond	Up to $2,000 for lower-income families: $500 the first year, then $100 a year up to age 15. No contribution needed.	Type = CLB.
Provincial grants	BC Training and Education Savings Grant: $1,200 once. Quebec QESI: 10% of contributions.	Type = Provincial Grant.

Example. Emma was born in 2015 and has received $3,500 of CESG. Her grant room by 2026 is 12 years × $500 = $6,000, so $2,500 is unused and she can collect the $1,000 maximum this year. You contribute $2,500 at Wealthsimple and $1,500 at RBC: $4,000 × 20% = $800. Contributing $1,000 more by December 31 collects the other $200. Liam (born 2019, $2,000 received) gets $500 on $2,500, and $2,500 more collects his full $1,000.

5. PAYING FOR SCHOOL

Rule	What it means	In the tracker
EAP: taxed to the student	Educational Assistance Payments (grants + growth) are income for the student, who usually pays little or no tax.	Type = EAP; tax snapshot.
EAP limit in the first 13 weeks	Up to $8,000 for full-time studies and $4,000 per 13 weeks part-time. No limit after 13 weeks.	—
Your contributions come back tax-free	A PSE withdrawal returns your own contributions while the child is in school.	Type = PSE Withdrawal.
If nobody goes to school	CESG and CLB are repaid. Contributions come back tax-free. The growth becomes an Accumulated Income Payment taxed at your rate + 20% (12% in Quebec), unless you move up to $50,000 of it to your RRSP and have the room.	Types = Grant Repayment, AIP.
US dividends	15% is withheld in an RESP and cannot be recovered.	Dividend Tracker note.

6. MOVING MONEY BETWEEN BROKERAGES

Rule	What it means	In the tracker
Use a direct transfer	Moving a TFSA or RRSP to another brokerage with Form T2033, or an RESP with an RESP transfer form, is not a withdrawal and not a new contribution. Grants move with the RESP.	Transfer Out + Transfer In.
Never withdraw and re-deposit	A TFSA withdrawal re-deposited the same year uses room again. An RRSP withdrawal is taxed. An RESP withdrawal re-deposited counts again against $50,000, and grants may have to be repaid.	Room blocks.
Each brokerage only sees itself	They will all accept a contribution, even if your total room is used up somewhere else.	All Brokerages column.

7. WHICH ACCOUNT FIRST?

- **RESP up to the full CESG.** A 20% grant is an instant return no other account offers: $2,500 per child a year, or $5,000 to catch up unused grant room.
- **RRSP when your tax rate is high now.** If your marginal rate today is higher than you expect in retirement, the deduction wins. Hold US dividend payers here (0% US withholding).
- **TFSA for flexibility.** Money you might need before retirement, or growth you want tax-free forever.
- Your best order depends on your income, your children's ages and your goals. This is general information, not advice.

TFSA, RRSP & RESP Government Rules

KEY NUMBERS FOR 2026

Item	Amount
TFSA annual limit	$7,000
RRSP new room	18% of 2025 earned income, up to $33,810
RRSP over-contribution buffer	$2,000 lifetime
RESP lifetime limit	$50,000 per child
Basic CESG	20% of the first $2,500 a year ($500); up to $1,000 a year with unused room
CESG lifetime maximum	$7,200 per child
Canada Learning Bond	Up to $2,000 per child
Over-contribution tax (all three)	1% per month on the excess

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